



Grays.com – With confidential information for Kelly Kaplan

This is the second section, which contains private information available only to your role. Do not show this information to anyone else.

Private information for Kelly Kaplan only

If you cannot get Grays.com, your best alternative is to take WashingtonGrays.com which is not yet registered to anyone, and is available for a \$10 registration fee. You are concerned, however, because this longer name will not be as easy to market as would 'Grays.com'. It is important that fans recognize the name of the *official* team web site since there will be plenty of similarly named web sites out there (ex., GoGrays.com) looking to sell tickets second hand. Due to the middle man mark-up, second hand tickets will generally be more expensive than the tickets you sell and this in turn might depress business. (The margins in the middle man ticket business are generally small and so the companies rarely buy domain names at premium prices; i.e., they buy whatever name they can get for \$35 or less).

You estimate that using WashingtonGrays.com, instead of Grays.com, would cost the team 1% of ticket sales in the first year. This works out to an expected cost of about \$475,000. You would not want to pay more than this to obtain Grays.com. You think that the costs beyond the first year will be far less substantial, and so it is not necessary to take account of them.

As to Gray's Restaurant and Catering, they are well outside of the Washington area and you have no further information than the public information given above.

This note was prepared as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation. Prepared by Prof. Gary Bolton of Smeal and Prof. Jeannette Brosig, University of Magdeburg, Germany with the research assistance of Cornelius Cornelssen, Penn State class of 2006.